condition of the labour market as a result of legislative measures had adversely affected employers' freedom to adopt flexible labour practices, adopt rationalization policies to step up productivity, or even to discipline their workforce. Labour costs had increased and the powers to regulate labour or hire and fire staff had been curbed. The Committee noted that as a consequence strange situations were created. For instance, some presiding judges of tribunals had 'refused to accept audited accounts of companies and recast the balance sheets according to their own concepts of accounting with the result that companies which had shown actual losses in their accounts had been adjudged as having made profits.'[8] In the case of Madras Electric Tramways, the tribunal had ordered that 50 percent of the reserves, which would normally have been used for expansion, taxes, and other expenses be distributed among the employees. The Committee criticized the low return allowed on capital while giving wage awards, and the implications of this policy for industry's ability to expand or rehabilitate capacities. In the words of the Committee, 'But as in many other things in a mixed economy, a balance has to be struck between improving the conditions of labour and leaving enough inducement for private investment. The point we wish to make is that the rate of return which entrepreneurs can obtain or expect at present is not sufficient both to satisfy all the needs of labour and to provide adequate resources and incentives for further investment.'[9]

The Committee also pointed out occasions when even banks and insurance companies were required to produce original books of accounts for scrutiny before wage tribunals without any regard to the confidentiality of such information. The Committee noted that there was a need to strike a balance between improving the conditions of labour and providing adequate incentives for private investors. It urged immediate steps to 'remove the confusion and uncertainties in regard to labour legislation and Awards and to ensure that a rise in the rewards of labour does not run ahead of the increase in the productivity of labour'. Besides, authorities could not persist in their inquisitorial inquiries against banks without affecting the development of the banking sector.

Finance for the Private Sector